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Artificial Intel Applications

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MasterCard's AI-Powered Fraud Detection

In 2024 MasterCard made a report of losses to fraud in the last couple years and future years. To combat this issue, they introduced Decision Intelligence, a smart system that quickly finds suspicious transactions. The way that this is possible is by tracking payment history of users and comparing them to recent payments, almost like a prediction system it uses past information to figure if your next payment matches with your spending habits. Each payment gets a safety score, which helps banks decide if it should go through or be blocked. Over time, the system learns and improves. Considered adaptive Ai, as fraud criminal cases increase the Ai itself will only become stronger to match with the new ways to commit fraud.

The use of this technology within MasterCard has decreased the chances of successful fraud greatly compared to prior years. Payments are processed in milliseconds, making shopping safer and faster. This type of technology needs a lot of good data to work well. Criminals are always finding new ways to bypass the system, so the system must be updated often. Additionally issues about private information are brought up due to how the ai works. While MasterCard may still have some issues to how it works, MasterCard's Decision Intelligence helps keep payments safe while making transactions smooth for customers. Apart from privacy issues MasterCard's step into this field on fraud detection is unique and very effective in the long

run and should be more researched on by multiple banks to increase its effectiveness without invasive privacy.

Ay B O O K, P., and J. Ly. Decision Intelligence - beyond Mastercard Real-Time Intelligence for Transactions, regardless of Network Contents.

b2b.mastercard.com/media/3lmluagp/decision-intelligence-beyond-mastercard-playbook.pdf.

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